AUDIT REPORT · OIG-2027-09

Grants Management Audit

The Inspector General's review of how the Workforce Development Office administers its $84M federal grant portfolio.

The finding: the office is materially compliant, with three correctable control gaps.

We reviewed grant administration against the federal Uniform Guidance. The office meets most requirements, but three control gaps — in subrecipient monitoring, time-and-effort certification, and conflict-of-interest disclosure — expose it to disallowed-cost risk. All three are remediable this fiscal year.

What we audited, and against what standard.

We examined 62 grant awards totalling $84M over two fiscal years, testing them against the federal Uniform Guidance (2 CFR 200). The scope covered award, monitoring, financial reporting, and closeout. Sampling was risk-weighted toward the largest and oldest awards.

How we tested compliance.

We traced a stratified sample of 240 transactions to source documents, interviewed 14 program and finance staff, and re-performed the office's own monitoring checks. Each requirement was rated compliant, partially compliant, or non-compliant against the cited regulation.

Where the office stands against each Uniform Guidance obligation.

REQUIREMENT	AWARD	MONITOR	REPORT	CLOSE
Subrecipient oversight	✓	−	✓	✓
Time & effort	✓	−	−	✓
Conflict of interest	−	−	✓	✓
Financial reporting	✓	✓	✓	✓
Procurement standards	✓	✓	✓	−

✓ Applies − Partial

Filled = compliant, half = partially compliant, empty = non-compliant.

The three gaps, in order of exposure.

Subrecipient monitoring is the largest: 4 of 18 subrecipients had no documented risk assessment. Time-and-effort certifications ran an average of 47 days late. Conflict-of-interest disclosures were missing for 3 of 31 award-decision staff. None produced a confirmed disallowed cost — yet.

Where each finding sits on likelihood against financial impact.

Likely · Low impact.

Late time-and-effort certifications

Likely · High impact.

Unmonitored subrecipients holding large awards

Unlikely · Low impact.

Isolated procurement-doc gaps at closeout

Unlikely · High impact.

Undisclosed conflict tainting an award decision

Read for exposure: the same findings as a risk heat map.

REQUIREMENT	AWARD	MONITOR	REPORT	CLOSE
Subrecipient oversight	○	●	○	○
Time & effort	○	●	◐	○
Conflict of interest	◐	●	○	○
Financial reporting	○	○	○	○
Procurement standards	○	○	○	◐

● High exposure ◐ Moderate ○ Controlled

Filled = high exposure, half = moderate, empty = controlled.

The remediation plan, sequenced by exposure.

STEP 01

Risk-assess subrecipients

Complete a documented risk assessment for all 18 subrecipients and a monitoring schedule for the four highest-risk within 60 days.

STEP 02

Fix certification cadence

Move time-and-effort certification to a monthly automated workflow, eliminating the 47-day lag, within 90 days.

STEP 03

Close disclosure gaps

Collect outstanding conflict-of-interest disclosures and add a pre-award gate that blocks decisions without one, within 30 days.

STEP 04

Verify and re-test

The OIG re-tests the three controls at the close of the fiscal year and reports residual risk.

What management has committed to, and by when.

01 **Subrecipient monitoring restored**

All risk assessments documented; quarterly monitoring resumed. Due Q3.

02 **Certification lag eliminated**

Automated monthly workflow live; zero certifications past 30 days. Due Q3.

03 **Disclosure gate in place**

No award decision without a current disclosure on file. Due Q2.

04 **Independent re-test passed**

OIG confirms all three controls operating at year-end. Due Q4.

OFFICE OF INSPECTOR GENERAL · OIG.GOV.EXAMPLE

Materially compliant, three gaps to close, all fixable this year.